

REPORT

Annual Compliance Audit Summary — FY2025-26

Period: Apr 2025 – Mar 2026 | Prepared By: Internal Audit & Compliance | Classification: Confidential — Audit Committee

1. Scope of Audit

The annual compliance audit covered anti-bribery & anti-corruption controls, related-party transaction governance, data privacy readiness, labour law compliance across manufacturing units, and statutory/regulatory filing timeliness across all SCPL business units and 6 manufacturing facilities.

2. Key Findings

Area	Observation	Risk Rating	Status
Third-Party Due Diligence	12% of active distributors had expired ABAC due-diligence certificates	Medium	Remediated
Data Privacy	Consent management logs incomplete for 2 regional e-commerce campaigns	Medium	In Progress
Labour Compliance	Contract labour license renewal delayed at Nashik plant by 18 days	Low	Closed
Gifts & Entertainment	3 instances of gift disclosure filed beyond the 15-day window	Low	Closed
Related Party Transactions	All RPTs reviewed were within Board-approved thresholds	None	No Action Required

3. Regulatory Filings Status

- 100% of statutory filings under the Companies Act, 2013 and SEBI LODR were completed within prescribed timelines.
- FSSAI license renewals completed for all manufacturing units; 1 unit received a minor non-conformance on labelling, since rectified.
- GST and TDS filings for FY2025-26 were completed with zero late-filing penalties.

4. Training & Awareness

Training Module	Target Audience	Completion %
Code of Conduct Refresher	All employees	97%
Anti-Bribery & Anti-Corruption	Sales, Procurement, Legal	94%
Data Privacy (DPDP Act)	Employees handling personal data	89%
POSH (Prevention of Sexual Harassment)	All employees	98%

5. Action Plan for FY2026-27

- Automate ABAC due-diligence renewal alerts within the Vendor Management System.
- Close out consent-log gaps for e-commerce campaigns by Q2 FY2026-27.
- Increase DPDP Act training completion to above 95% through mandatory quarterly refreshers.